When that failed, only the military option remained. The Royal Bhutan Army, which has been trained and to a great extent also equipped by India, moved into action in December 2003. The operation, codenamed ‘All Clear’, was the Bhutanese army’s first engagement in a major military campaign—and it turned out to be successful. Bhutanese troops seized ULFA’s headquarters at Phukatong in Samdrup Jongkhar district on 15 December. The following day, 10 camps were destroyed and scores of insurgents were killed. The Indian Army did not participate directly in the operation, but deployed 12 battalions along the border with Bhutan to prevent the rebels from fleeing south. Indian helicopters also helped evacuate wounded Bhutanese soldiers, and, by the end of December, no insurgents from India’s northeast remained in Bhutan.[44]

When Operation All Clear, which in Bhutan is also referred to as ‘Operation Flush Out’, was over, the Bhutanese had seized large quantities of assault rifles, rocket launchers, and mortars, communication equipment, and thousands of rounds of ammunition. Most of the equipment was made in China, obtained on what is euphemistically called the ‘Chinese black arms market’, and smuggled from ports in Bangladesh to Bhutan. The camps in Bhutan were lost, but ULFA and some other insurgent groups still had a presence in Bangladesh, which at that time was ruled by the anti-Indian Bangladesh Nationalist Party (BNP).

A further blow to ULFA came only four months after the loss of its sanctuaries in Bhutan, this time in Bangladesh. ULFA had placed a major order of weapons from its contacts in China, but it was seized when the ship carrying the lethal cargo arrived at port in Chittagong on 2 April. The shipment originated in Hong Kong and, at that point, involved only Chinese weaponry. From Hong Kong, the ship sailed on to Singapore, where more weapons of Israeli and US manufacture were added. According to the well-respected defence journal *Jane’s Intelligence Review*: ‘The shipment was then transported north through the Strait of Malacca to be transhipped in the Bay of Bengal to two trawlers, the *Kazaddan* and *Amanat*, which ferried the weapons to a jetty on the Karnaphuli river, Chittagong.’[45] The shipment included automatic and semi-automatic rifles, Kalashnikov-type assault rifles, rocket-propelled grenade-launchers, hand grenades, and a large quantity of all kinds of ammunition. The total value of the shipment was estimated at between US$ 4.5 and 7 million.[46]